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January 7, 1949

MEMORANDUM FOR THE PRESIDENT

The following notes contain a brief summary of the discussion at the 31st meeting of the National Security Council.

1. REMOVAL AND DEMOLITION OF THE OIL FACILITIES, EQUIPMENT AND SUPPLIES IN THE MIDDLE EAST
(NSC 26/2; SANACC 398/4)

THE NATIONAL SECURITY COUNCIL:

Adopted NSC 26/2 without change.

NOTE: NSC 26/2 subsequently submitted to the President for consideration.

2. RETENTION OF U. S. FOOTHOLD AT SHANGHAI

MR. LOVETT reported that the subject had arisen at the Cabinet meeting last week in connection with the delivery of ECA supplies. He then read a memorandum prepared in the Department of State which outlined and discussed three alternative courses of action: (1) American control and defense of the whole City of Shanghai; (2) American control and defense of key installations in the City; and (3) American retention of consular offices and private business property in the City.

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MR. LOVETT said he felt that the third alternative was the best and added that present instructions were that all foreign service personnel in China should stay at their posts even if the places where they were stationed were over-run by the Communists. He felt that we could not take over the whole city unless we were ready to go to war.

MR. KENNEY inquired about certain buildings owned by the Navy in Shanghai. MR. LOVETT replied that the plan was to retain and protect government property.

MR. SOUERS suggested that the Department of State set out the current policy as Mr. Lovett had described it under alternative three, for the information of the President and the Council.

MR. LOVETT agreed to have such a statement prepared.

THE NATIONAL SECURITY COUNCIL:

a. Discussed a memorandum on the subject, read by the Acting Secretary of State, which indicated the most feasible of three alternative means of retaining the U. S. foothold at Shanghai.

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b. Agreed that the Acting Secretary of State should prepare for the information of the Council a memorandum outlining the course of action currently being followed by the Department of State with respect to the retention of a U. S. foothold at Shanghai.

NOTE: The action in b above subsequently transmitted to the Acting Secretary of State for implementation.

3. UNITED STATES POLICY WITH RESPECT TO FORMOSA
(Memo for NSC from Acting Executive Secretary, same subject, dated December 28, 1948; Memo for NSC from Executive Secretary, same subject, dated January 5, 1949; NSC 37)

MR. LOVETT said that the question of Formosa was mainly a political one which depended now basically upon behind-the-scenes activity. In view of the international commitment with respect to the return of Formosa to the Chinese and of the present Chinese de facto control of the Island, any open move for direct U. S. influence would be bad. He felt that the problem of Formosa was much more important than the Tsingtao situation.

SECRETARY SYMINGTON agreed with Mr. Lovett's remarks.

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MR. LOVETT reported that the Policy Planning Staff and the Office of Far Eastern Affairs had been working on the problem since Monday in the light of the Army and Navy proposals. He said that, while neither the Army nor the Navy approach had been fully acceptable, he expected that a Department of State paper would be ready by Friday, January 7. He proposed that all these papers be referred to the NSC Staff for the preparation of a report.

In response to MR. DRAPER'S query as to urgency, Mr. Lovett agreed there was a hydra-headed urgency for a Formosa decision, what with Chiang Kai Shek appointing a military governor and with two Navy ships standing in there.

SECRETARY SYMINGTON said that it was the concensus of the Army, the Navy, and the Air Force that the prevention of communist control in Formosa was of the utmost importance. MR. DRAPER and MR. KENNEY agreed. MR. LOVETT said that the Department of State agreed, too, but that the question of how was a difficult one.

ADMIRAL HILLENKOETTER reported that another current report had just been received that Chiang was going to retire to Formosa and come out again later.

THE NATIONAL SECURITY COUNCIL:

Directed the NSC Staff to prepare as a matter of urgency a report for consideration by the Council on the position of the United States with respect to Formosa, taking into consideration the discussion at the meeting, the views of the Joint Chiefs of Staff in NSC 37, and the proposals by the Army and Navy and the forthcoming comments thereon by the Department of State.

(The President joined the Council for the following item which did not appear on the NSC agenda.)

4. DEVELOPMENTS WITH RESPECT TO WESTERN UNION
(Memo for the President, the Secretaries of Defense, the Army, the Navy, and the Air Force, and Chairman, National Security Resources Board, from Executive Secretary, same subject, dated January 4, 1949)



MR. LOVETT said that the genesis of the Pact was Senate Joint Resolution 239. Four yard sticks had been instrumental in the drafting: (1) That it be subject to constitutional requirements; (2) That our National Security be directly affected; (3) That it be consistent with the United Nations Charter; and (4) That any aid be based on self-help. In connection with the second point, he remarked that foreign policy was concerned basically with the National Security.

During the preliminary summer conversations there had been amazingly good progress with Canada brought in to present for the first time a solid North American point of view. This provided one abutment for the bridge across Greenland, Iceland, Ireland, and Norway to the other abutment of the Brussels Pact nations. The Rio Pact had originally served as a guide, but much of its language had been changed. For instance, there were no "guarantees" in the Atlantic Pact; everything was a mutual proposition. Furthermore, there were no automatic provisions for war, but only agreements to defend and fight. The discussions had been brutally frank, and Mr. van Kleffens, the Netherlands Ambassador, had proven to be the ablest diplomat. He was particularly helpful in negotiating with the French.

After reconvening in the fall, there was found to be complete agreement on the present draft except for two areas of disagreement, both French proposals: To include North Africa, and to include Italy.

With respect to Article I, MR. LOVETT said that the old diplomatic language of "high contracting" parties had been dropped in favor of understandable phrases. Article II, he said, emphasized that the Pact was a general political agreement, not just a military alliance, and there were no commitments on military supplies.

He emphasized the importance of the consultation provision in Article IV, whereby the members of the Pact could agree action was called for when there had been aggression against a non-member nation, like Turkey.

Article V, he pointed out, served United States interests particularly, for it permitted an attack on Alaska, though it is Pacific territory, to bring into play the machinery of the Pact. Article V also assured that there would be no cessation of a war in any one small territory, like Alaska, without assuring security in the whole North Atlantic area.

SECRETARY SNYDER asked if an attack on Australia would bring the Pact into action like an attack on Alaska. MR. LOVETT reported that the Pact had nothing to do with colonial areas, but that an attack on Australia could be considered under the consultation provisions of Article IV.

THE PRESIDENT commented that the Pact was literally an offensive-defensive alliance to maintain the peace in the North Atlantic area with no automatic provisions for war.

SECRETARY SYMINGTON inquired about guarantees in the Pact. MR. LOVETT said that when the French used the term "guarantee", they mean to guarantee the integrity of their territory. The Pact has nothing of that sort in it, for it guarantees only to do something.

MR. DRAPER asked if the statement that an attack on any member should be considered an attack on all meant that we would be at war right away in case of an attack on another member. MR. LOVETT replied that it would be, subject to our constitutional provisions.

SECRETARY SNYDER asked if neutrality could be effective. MR. LOVETT replied that it could not, but remarked that if the Scandinavian Pact were approved without its neutrality provision, and current reports were that it would, the Pact would then be in effect a guarantee to protect Norway even if Norway were to remain neutral. However, under the provisions of Articles IV and V we could act in defense of Norway, and in this manner keep a certain flexibility by not forcing the Scandinavian nations to adhere to the Atlantic Pact at once.

THE PRESIDENT remarked that the Pact was the last nail in the coffin of isolationism.

MR. LOVETT said that this was the first time in U. S. history that we had the prospect of an alliance in peace time to offer us help.

SECRETARY FORRESTAL mentioned the Joint Chiefs of Staffs' concern in not permitting North Africa or the Mediterranean to be included under Article V. MR. LOVETT agreed and said that if French North Africa were included, then the area would certainly be extended to include the Mediterranean to the Suez Canal and to Iran and even Afghanistan.

MR. KENNEY inquired if the Turks would be considered the forgotten men when the Pact was announced. MR. LOVETT replied that Turkey was now getting military assistance, whereas Western Europe was only about to request it. Furthermore, he added, after the Pact had been approved by the President and the Congress the Department of State was contemplating the issuance of a separate statement to the effect that any aggression with respect to Italy, Greece, and Turkey would be considered in accordance with Article IV of the Pact.

SECRETARY SYMINGTON inquired about the British position with respect to Italy. MR. LOVETT replied that one could not look for consistency in British policy in view of its wide-spread interests. He said that the British were well disposed toward Italy but inclined to consider them a liability in connection with the Pact. He felt that the British might feel that we would make a side deal on Italy.

THE PRESIDENT commented that the British reluctance was understandable since they had twice been double-crossed by Italy in recent history.

(The President and Secretary Snyder left the meeting at this point.)

5. REGULAR ORAL INTELLIGENCE PRESENTATIONS

ADMIRAL HILLENKOETTER said that he would be glad to make the first presentation at the next Council meeting.

THE NATIONAL SECURITY COUNCIL:

Directed the Director of Central Intelligence to supplement the current written reports in the CIA Series with monthly oral intelligence presentations to the National Security Council.

NOTE: The above action subsequently transmitted to the Director of Central Intelligence for implementation.

6. SECURITY OF VENEZUELAN OIL PRODUCTION AREA
(Memo for NSC from Acting Executive Secretary, same subject, dated December 30, 1948; NSC 29)

[redacted]

THE NATIONAL SECURITY COUNCIL:

Noted the subject study prepared by the Joint Staff, attached to the reference memorandum, and referred it to the Director of Central Intelligence for consideration in connection with the plan being prepared pursuant to NSC Actions Nos. 128 and 104.

7. NSC STATUS OF PROJECTS

THE NATIONAL SECURITY COUNCIL:

Noted the NSC Status of Projects as of January 3, 1949.

8. NEXT MEETING

In view of the fact that the next regularly scheduled Council meeting falls on Inauguration Day, January 20, the Council agreed that the date of its next meeting should be at the discretion of the Chairman.

